CELLO

FHA-to-FNMA Refinance

July 8, 2013

Since late 2010, FHA has been increasing insurance premiums on new loans it guarantees. This has discouraged FHA-to-FHA refinance. On the other hand, private mortgage insurance (PMI) is now more readily available. PMI is required in order for FNMA to guarantee a loan with a loan-to-value (LTV) ratio above 80%. The availability of PMI has increased the risk of FHA borrowers refinancing into FNMA.

This study assesses the FHA-to-FNMA refinance risk by first examining the relative incentive arising solely from the differences in the total fees (including all premiums) charged by each program. Since the fees depend on credit score and LTV, the study explores how the relative incentive changes with home price appreciation (HPA). Second, the study examines how the actual FHA-to-FHA and FHA-to-FNMA incentives change with mortgage rate.

The study uses 2010 GN II 4.5s data as of June 2013 factor date.

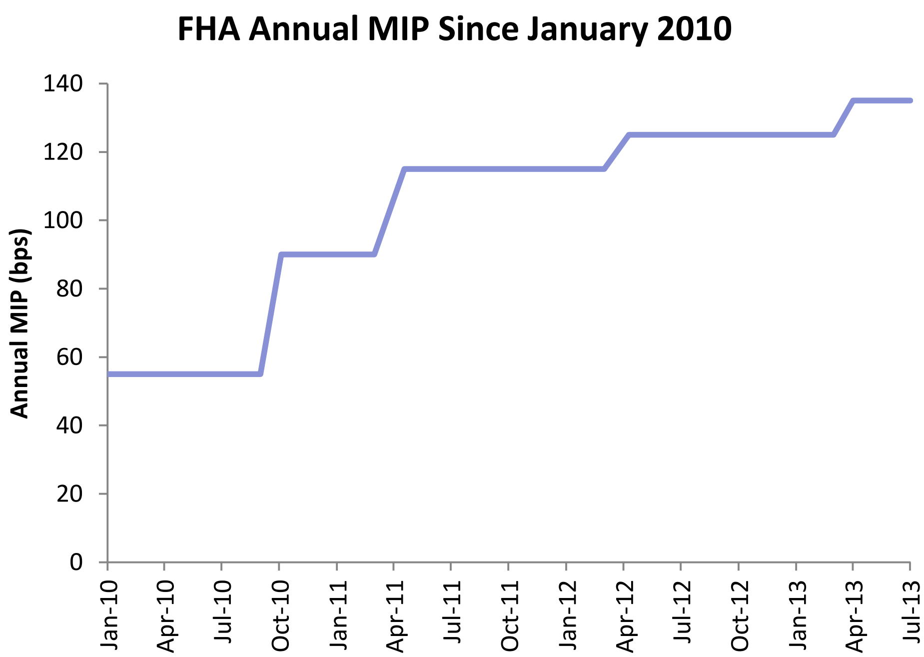
Based on the current FHA and FNMA related fee structures, all else being equal, 99% of the 2010 GN II 4.5s balance has a relative incentive for FHA-to-FNMA refinance. The weighted average relative incentive is 29 bps. As HPA increases, the relative incentive increases because FHA fees are fixed for LTV below 95% while FNMA related fees decrease along with LTV. For an instant 10% increase in HPA, 100% of the balance would have a relative incentive for FHA-to-FNMA refinance, and the weighted average relative incentive would increase to 79 bps. These relative incentive measures do not account for any differences in FHA and FNMA mortgage rates.

Actual FHA-to-FHA and FHA-to-FNMA incentives depend on the mortgage rate. At a mortgage rate of 4.25% (assuming FHA and FNMA rates are the same), 2010 GN II 4.5s FHA-to-FHA refinance is out of the money, but 57% of the balance has positive incentive for FHA-to-FNMA refinance, and a weighted average positive incentive of 9 bps. An instant 10% HPA increase would not improve FHA-to-FHA refinance, but 100% of the balance would have positive FHA-to-FNMA incentive, and a weighted average incentive of 50 bps.

As mortgage rates increase, the impact of HPA increase on FHA-to-FNMA incentive decreases.

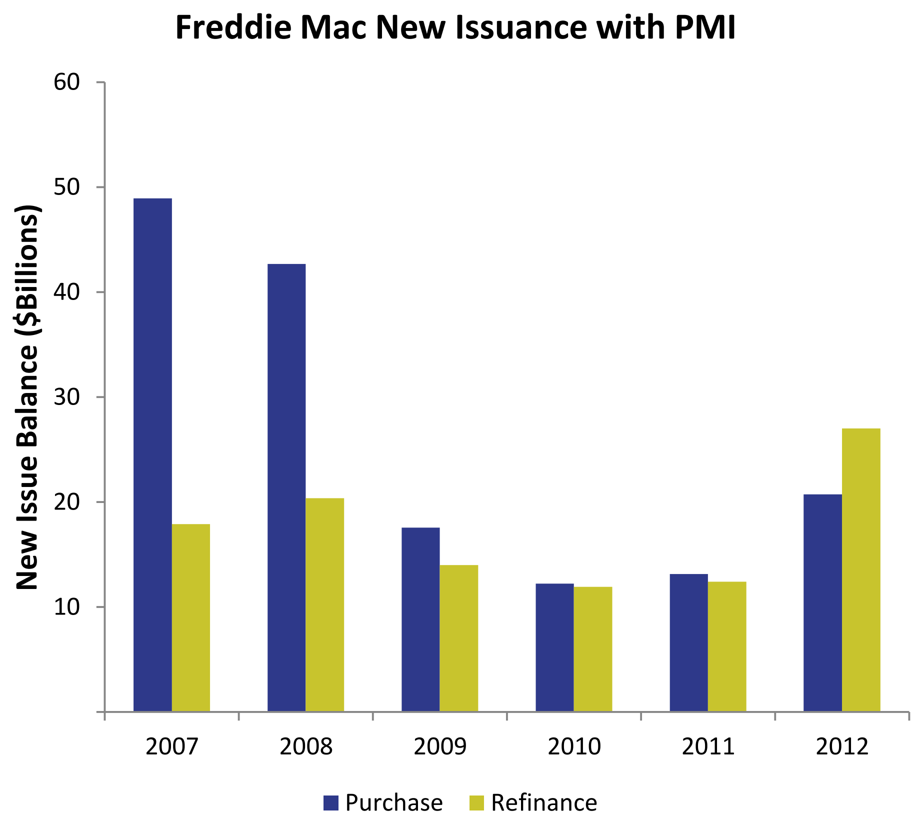
The FHA Mutual Mortgage Insurance Fund that pays for claims on losses of FHA insured loans has been incurring large losses mostly stemming from loans originated and insured before the financial crisis when underwriting was lax. To replenish the fund and maintain it at the statutory required level, FHA has increased the annual mortgage insurance premium (MIP) on new loans several times, for a cumulative increase of 80 bps since January 2010.

The higher FHA premium has made FHA-to-FHA refinancings less attractive. This has been positive for interest only securities (IOs) that benefit from slow prepayments.



PMI is required for any FNMA guaranteed loan that has a loan-to-value ratio (LTV) above 80%. PMI availability decreased during the financial crisis because of the large losses incurred by the key policy writers. This resulted in FHA being the primary insurer for loans to poor credit borrowers with low down payment.

After bottoming in 2010-2011, PMI availability has been increasing because of home price appreciation and improved financial conditions of policy writers. Given the increase in FHA premiums, PMI availability, especially at competitive rates, increases the likelihood of FHA-to-FNMA crossover refinance.



MORE EFFICIENT PRICING OF FNMA UPFRONT FEES INCREASE FHA-TO-FNMA REFINANCE RISK

FNMA upfront fees (known as loan level pricing adjustments or LLPA) are dependent on the borrower's FICO credit score and the loan's current loan-to-value (LTV) ratio. This is more efficient pricing than the FHA upfront fee that is fixed and independent of borrower credit or loan LTV ratio.

More efficient FNMA upfront fee pricing increases the FHA-to-FNMA refinance risk.

FNMA Loan Level Pricing Adjustments (LLPA)

	LTV Bucket			
FICO Bucket	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	3.50%	3.50%	3.50%	3.75%
≥640 and <660	3.50%	3.00%	3.00%	3.00%
≥660 and <680	3.00%	2.50%	2.50%	2.50%
≥680 and <700	1.75%	1.50%	1.50%	1.75%
≥700 and <720	1.25%	1.25%	1.25%	1.75%
≥720 and <740	0.75%	0.75%	0.75%	1.25%
≥740 and <760	0.50%	0.50%	0.50%	1.00%
≥760	0.50%	0.50%	0.50%	1.00%

FHA Upfront Mortgage Insurance Premium (UFMIP)

	LTV
FICO	ALL
≥500	1.75%

FNMA related annual fees, PMI in this case, depend on borrower FICO credit score and the loan's current loan-to-value (LTV) ratio. This is more efficient pricing compared to FHA where the corresponding annual MIP only depends on whether LTV is above or below 95%.

The shaded region of the fee difference table show where FNMA annual fees are lower than FHA annual fees.

More efficient FNMA annual fee pricing increases the risk of FHA-to-FNMA refinance.

FNMA Related Annual Fees: Private Mortgage Insurance (PMI)

	LTV Ratios			
FICO	>80% and ≤85%	>85% and ≤90%	>90% and ≤95%	>95% and ≤97%
≥620 and < 660	0.74%	1.06%	1.50%	NA
≥660 and < 680	0.74%	1.06%	1.50%	NA
≥680 and < 700	0.53%	0.77%	1.09%	1.30%
≥700 and < 720	0.53%	0.77%	1.09%	1.25%
≥720 and < 760	0.42%	0.59%	0.77%	0.98%
≥760	0.33%	0.49%	0.64%	0.86%

FHA Annual Fees: FHA Annual Mortgage Insurance Premium (MIP)

	LTV Ratios	
FICO	≤95%	>95%
≥500	1.30%	1.35%

Difference in Annual Fees: FHA MIP - PMI

	LTV Ratios			
FICO	>80% and ≤85%	>85% and ≤90%	>90% and ≤95%	>95% and ≤97%
≥620 and < 660	0.56%	0.24%	-0.20%	NA
≥660 and < 680	0.56%	0.24%	-0.20%	NA
≥680 and < 700	0.77%	0.53%	0.21%	0.05%
≥700 and < 720	0.77%	0.53%	0.21%	0.10%
≥720 and < 760	0.88%	0.71%	0.53%	0.37%
≥760	0.97%	0.81%	0.66%	0.49%

FNMA total fees depend on a borrower's FICO credit score and the loan's current loan-to-value (LTV) ratio. These are more efficiently priced compared to FHA where the corresponding total fees depend only on whether the LTV is above or below 95%.

The shaded region of the fee difference table show where FNMA total fees are lower than FHA total fees.

Due to more efficient total fee pricing, FHA-to-FNMA refinancing is preferred for High FICO/Low LTV.

The differences in total fee do not include any difference in FHA and FNMA mortgage rates.

FNMA Total Fees: PMI and FNMA LLPA (expressed as annual rate)

	LTV Bucket			
FICO Bucket	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	1.62%	1.94%	2.38%	NA
≥640 and <660	1.62%	1.81%	2.25%	NA
≥660 and <680	1.49%	1.69%	2.13%	NA
≥680 and <700	0.97%	1.15%	1.47%	1.74%
≥700 and <720	0.84%	1.08%	1.40%	1.69%
≥720 and <740	0.61%	0.78%	0.96%	1.29%
≥740 and <760	0.55%	0.72%	0.90%	1.23%
≥760	0.46%	0.62%	0.77%	1.11%

FHA Total Fees: FHA Annual MIP and UFMIP (expressed as annual rate)

	LTV Bucket	
FICO	≤ 95%	>95%
≥500	1.44%	1.49%

FHA To FNMA Relative Incentive: FHA Total Fees- FNMA Total Fees (expressed as annual rate)

	LTV Bucket			
FICO Bucket	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	-0.18%	-0.50%	-0.94%	NA
≥640 and <660	-0.18%	-0.37%	-0.81%	NA
≥660 and <680	-0.05%	-0.25%	-0.69%	NA
≥680 and <700	0.47%	0.30%	-0.03%	-0.25%
≥700 and <720	0.60%	0.36%	0.04%	-0.20%
≥720 and <740	0.83%	0.66%	0.48%	0.20%
≥740 and <760	0.90%	0.73%	0.55%	0.26%
≥760	0.99%	0.83%	0.68%	0.38%

2010 GN II 4.5s: 99% OF BALANCE HAS INCENTIVE FOR FHA-TO-FNMA REFINANCING

The shaded areas indicate the balance/percentage of 2010 GN II 4.5s that have relative incentive for FHA-to-FNMA refinance. 99% of balance has relative incentive to refinance.

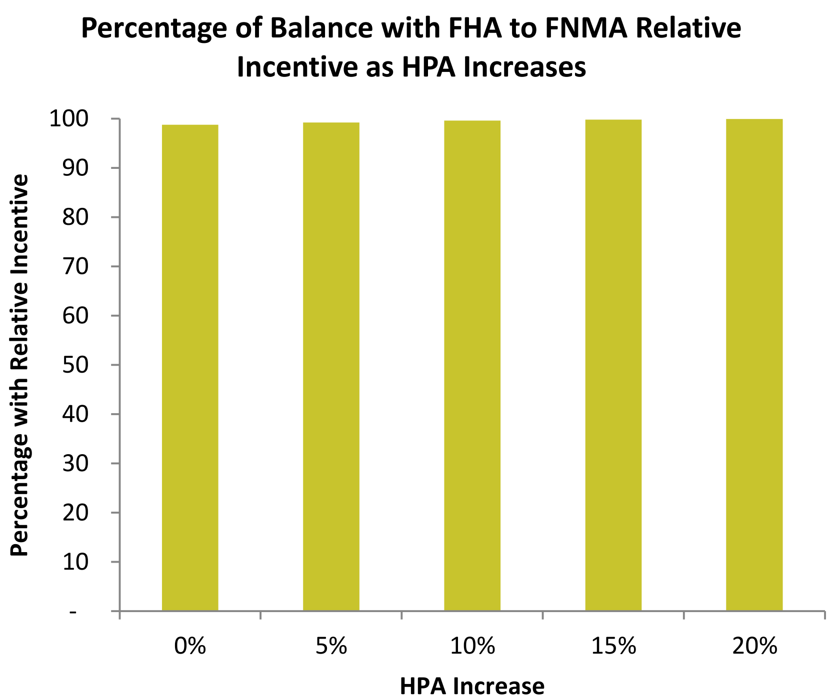
As home price appreciation (HPA) increases, the distribution of balance shifts to the left due to the reduction on LTV, increasing the balance that is eligible for FHA-to-FNMA refinancing as well as the relative incentive for the crossover refinancing.

GN II 2010 4.5s Outstanding Balance Distribution ($Millions)

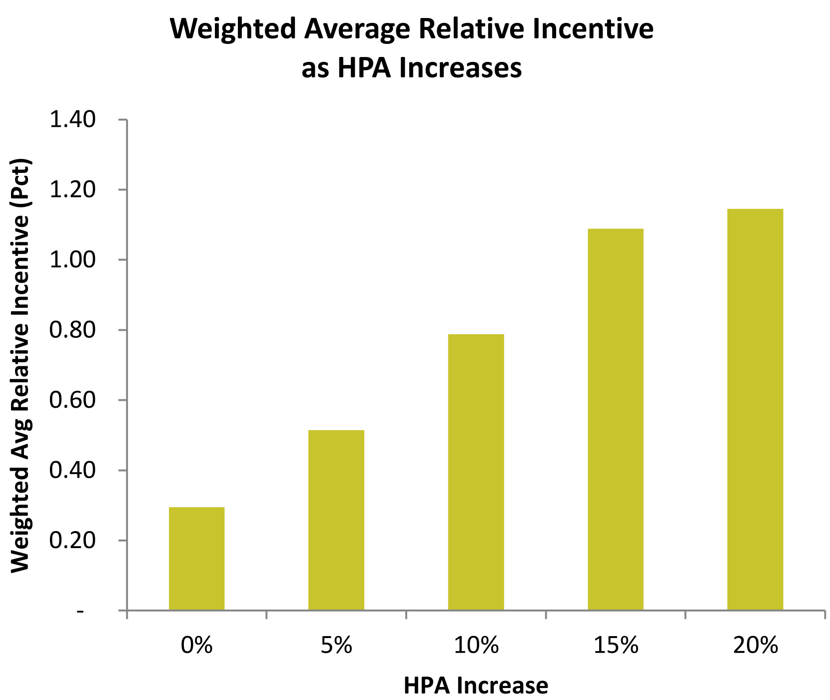
	LTV Bucket					
FICO Bucket	0 and ≤ 80	>80 and ≤ 85	>85 and ≤ 90	>90 and ≤ 95	>95 and ≤ 97	>97+
≥300 and <620	-	1	28	2	-	-
≥620 and <660	0	5	37	14	8	1
≥660 and <680	4	155	59	41	16	1
≥680 and <700	15	665	10,308	84	17	7
≥700 and <720	6	42	23,379	6,451	12	17
≥720 and <740	2	15	20	25	5	2
≥740 and <760	-	6	17	13	-	-
≥760	0	0	0	1	1	0

GN II 2010 4.5s Outstanding Balance Distribution (%)

	LTV Bucket					
FICO Bucket	0 and ≤ 80	>80 and ≤ 85	>85 and ≤ 90	>90 and ≤ 95	>95 and ≤ 97	>97+
≥300 and <620	0%	0%	0%	0%	0%	0%
≥620 and <660	0%	0%	0%	0%	0%	0%
≥660 and <680	0%	0%	0%	0%	0%	0%
≥680 and <700	0%	2%	25%	0%	0%	0%
≥700 and <720	0%	0%	56%	16%	0%	0%
≥720 and <740	0%	0%	0%	0%	0%	0%
≥740 and <760	0%	0%	0%	0%	0%	0%
≥760	0%	0%	0%	0%	0%	0%

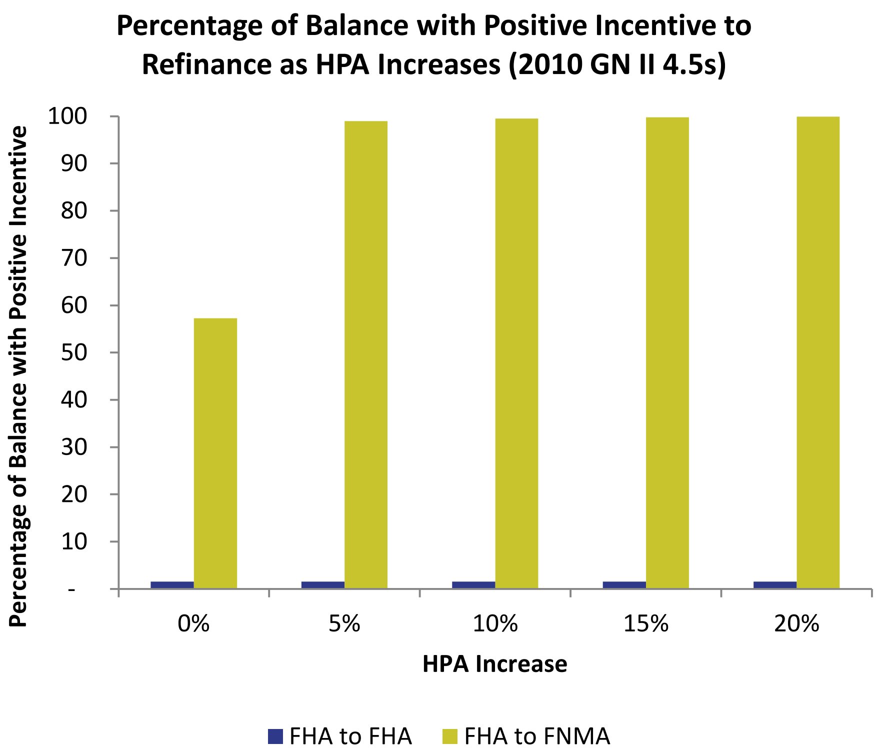


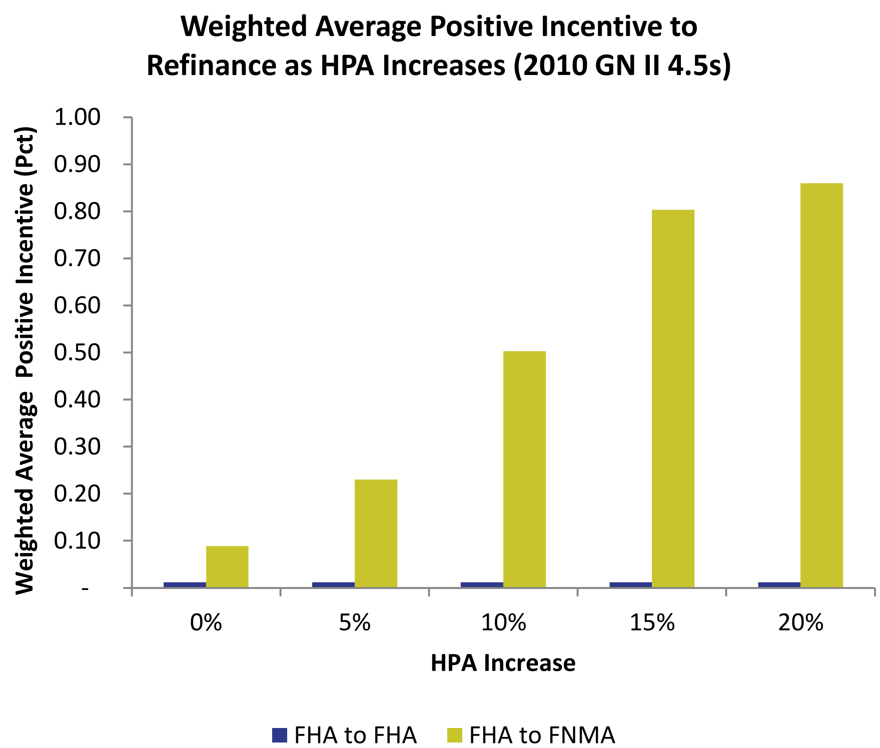
Percentage of Balance with FHA to FNMA Relative Incentive as HPA Increases
Percentage with Relative Incentive
100
90
80
70
60
50
40
30
20
10
-
0%
5%
10%
15%
20%
HPA Increase



Weighted Average Relative Incentive as HPA Increases
Weighted Avg Relative Incentive (Pct)
1.40
1.20
1.00
0.80
0.60
0.40
0.20
-
0%
5%
10%
15%
20%
HPA Increase

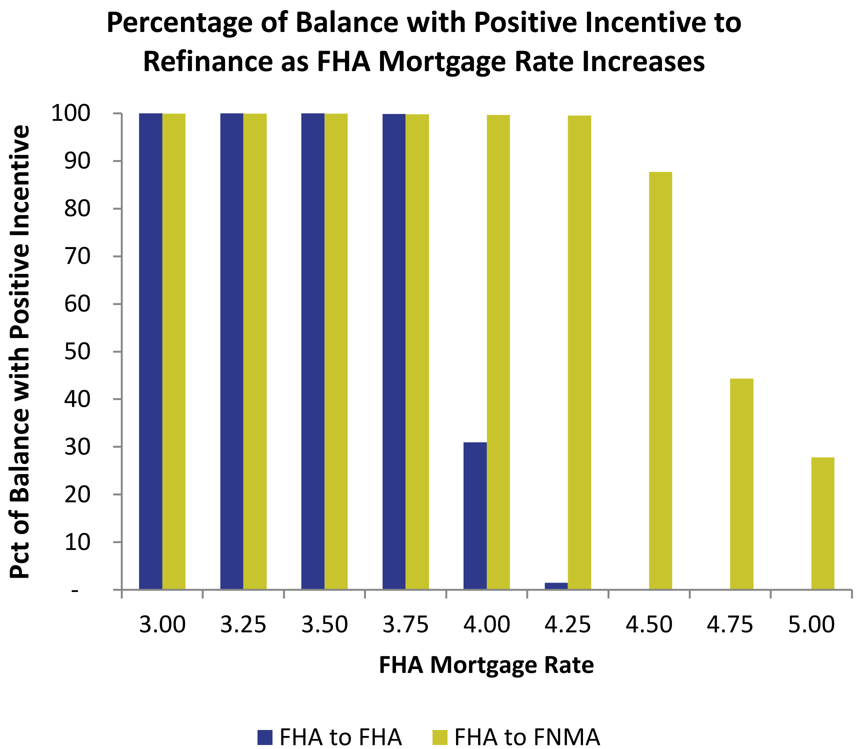
FHA-TO-FNMA REFINANCING IS ALWAYS PREFERED AT 4.25% MORTGAGE RATE

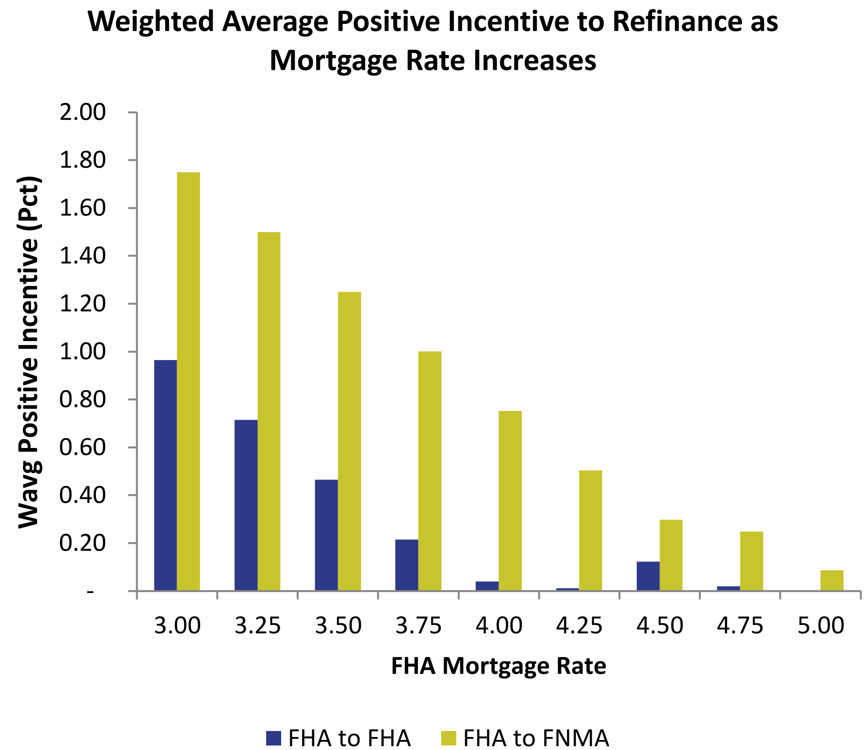




- At an FHA rate of 4.25% and current LTV, 2010 4.5s are mostly out of the money for FHA-to-FHA, but 57% has absolute positive incentive for FHA-to-FNMA refinance with a weighted average incentive of 9 bps
- At the same rate levels but with a 10% instant increase in HPA, FHA-to-FHA would still be out of the money but 99% of the balance would refinance to FNMA with a weighted average incentive of 50 bps

2010 GN II 4.5s WITH 10% HPA INCREASE: FHA-TO-FNMA PREFERRED AT ANY MORTGAGE RATE





- With an instant 10% HPA increase and an FHA rate of 3.75% or less, 100% of the balance has a positive incentive to refinance from FHA to FHA, but FHA to FNMA is more beneficial
- At an FHA rate of 4.00% and above, only FHA to FNMA refinance makes sense, but the crossover is limited at higher rates – at 4.75% FHA rate, 44% of balance has positive incentive for FHA to FNMA refinance but the weighted average positive incentive is only 25 bps

THIS DOCUMENT IS NOT AN OFFER TO SELL OR THE SOLICITATION OF AN OFFER TO BUY SHARES OF THE FUND. AN OFFERING OF INTERESTS WILL BE MADE ONLY BY MEANS OF A CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM AND ONLY TO QUALIFIED INVESTORS IN JURISDICTIONS WHERE PERMITTED BY LAW. PAST PERFORMANCE IS NO GUARANTEE OF FUTURE PERFORMANCE.

An investment in the Fund is speculative and involves a high degree of risk. The Fund will have substantial limitations on investors' ability to redeem or transfer their shares, and no secondary market for the Fund's shares exists or will develop. All of these risks, and other important risks, are described in detail in the Fund's Confidential Private Placement Memorandum. Prospective investors are strongly urged to review this Confidential Private Placement Memorandum carefully and consult with their own financial, legal and tax advisors, before investing.

Portions of this document may contain commentary and/or data based on certain current assumptions by Cello Capital Management, LLC ("Cello"), which are subject to change at any time, as well as Cello's internal complex calculations. If one or more of these assumptions or calculations is incorrect, the information contained herein may unintentionally be inaccurate.

Certain information contained herein may have been obtained by Cello from third parties. While Cello believes such sources are reliable, Cello has not verified the accuracy of such information and shall not be liable for any errors in such information or for any actions taken in reliance thereon.

This document may also contain certain forward looking statements and projections. Such statements and projections are subject to a number of assumptions, risks and uncertainties which may cause actual results, performance or achievements to be materially different from future results, performance or achievements expressed or implied by these forward-looking statements and projections. Prospective investors are cautioned not to invest based on these forward-looking statements and projections.

This document may contain references to certain internal Cello procedures and policies which are subject to change at any time.